

01 Actuarial advice

9 primary questions | Oldest to newest

2026 objectives: 1.1

17 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P2 April 2006 Q4	9 marks
CA1-P2 April 2010 Q1	9 marks
CA1-P2 September 2011 Q1	5 marks
CA1-P2 April 2016 Q4	15 marks
CA1-P2 September 2017 Q3	8 marks
CA1-P2 April 2018 Q5	11 marks
CA1-P2 September 2018 Q1	8 marks
CP1-P2 April 2019 Q1	50 marks
CP1-P2 April 2023 Q1	50 marks

CA1-P2 | April 2006 | Q4

Current topic | 9 marks total | Original PDF p2

Related: Ch 32.

- 4** A director of a company is negotiating a financial settlement on divorce. The director is to retain his accrued pension rights but their value is to be taken into account in the financial settlement. An expert witness is providing independent advice on a suitable value of the director's final salary pension for this purpose.

- (i) Discuss the factors that will influence the advice to be given. [6]

It has been suggested that the value of the accrued pension rights be taken as the value of the director's pension benefits disclosed in the company's accounts.

- (ii) State the advantages and disadvantages of this suggestion. [3]

[Total 9]

CA1-P2 | April 2010 | Q1

[Current topic](#) | [9 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 1** An insurance company is considering expanding by buying smaller insurance companies and has enlisted the help of a consultant to identify possible targets.

Discuss the issues that the consultant needs to consider in order to do a professional job. [9]

CA1-P2 | September 2011 | Q1

Current topic | 5 marks total | Original PDF p2

Related: Ch 33.

- 1**
- (i) State what is meant by the term “statutory role” when referring to the work of an actuary, and state what statutory roles for actuaries mainly relate to. [2]
 - (ii) Set out what an actuary might be required to certify when carrying out a statutory role. [3]
- [Total 5]

CA1-P2 | April 2016 | Q4

[Current topic](#) | [15 marks total](#) | [Original PDF p2](#)

Related: [Ch 22](#), [Ch 19](#).

- 4** Legal action is being taken by former professional players of a major national sport for long-term health issues related to past head injuries which they suffered whilst playing the sport. The legal action is being taken against the sports club owners who employed the players. You have been asked to provide advice to the club owners on structuring a settlement scheme to make payments to the former players.

Discuss how an actuary can contribute to structuring this settlement scheme. [15]

CA1-P2 | September 2017 | Q3

Mixed / scope note | 8 marks total | Original PDF p2

Use the named regime, standard or index as a historical exam context. The report is the answer for that sitting; verify current detail in your 2026 material.

- 3** In a particular country, actuaries are required to comply with a series of principles-based rules referred to as Technical Actuarial Standards (TASs).

Describe the issues an actuary should take into account when deciding on the materiality and proportionality of the principles in any particular TAS in relation to actuarial work.

[8]

CA1-P2 | April 2018 | Q5

[Current topic](#) | 11 marks total | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 5**
- (i) State the main roles of a professional body. [2]
 - (ii) Suggest the problems that can arise if such a body's rules on professional standards are too demanding. [4]
 - (iii) Outline the areas that an actuary is usually required to certify when performing a statutory certification of the adequacy of the valuation of assets and liabilities for an insurance company. [5]
- [Total 11]

CA1-P2 | September 2018 | Q1

Current topic | 8 marks total | Original PDF p2

September 2018 main paper, recovered from the supplied archive; the extracted folder had contained the spare paper under this date.

- 1** Buyco is intending to purchase another company. An actuary has been asked to comment on the liabilities associated with the pension scheme of the target company.
- (i) Outline the factors that the actuary should take into account in order to ensure they are able to carry out a professional job and accept the appointment. [5]
 - (ii) Describe why is it important that these factors are addressed. [3]
- [Total 8]

CP1-P2 | April 2019 | Q1

Current topic | 50 marks total | Original PDF p2

Integrated case study. The full scenario is retained under one primary chapter; related chapters identify its other substantial topics. Related: Ch 5, Ch 22, Ch 35, Ch 25, Ch 7, Ch 18.

1 Background

A university in Country A has a large campus in a city.

The university currently has 30,000 students and 5,000 employees.

The university offers its employees various benefits. These include life cover, cover for sickness and disability, as well as membership of a pension scheme. Some employees are in a defined benefit pension scheme and others in a defined contribution scheme.

The university is looking to significantly increase the number of students it has as part of its expansion plan to become a world leading university. It is considering whether to expand the current campus, open a new campus in a different city or open a new campus in a different country. It is consulting a number of different professional advisers as part of this process.

The government in Country A has recently announced legislation which will substantially increase the state pension benefits to all citizens in Country A. At the same time state pension benefits increase so will the state pension age. The net effect is expected to give rise to additional costs and tax rates in Country A are expected to rise to help fund these costs.

The university is concerned about the long-term affordability of its pension commitments and has asked your company to advise if this may be a suitable opportunity to consider closing the defined benefit scheme and also to reduce contributions to the defined contribution scheme.

Questions

- (i) Suggest why the government may have decided to increase the state pension. [4]
- (ii) Outline why the university may be concerned about its pension commitments. [3]
- (iii) Discuss the options that may be available to the university regarding its pension commitments. [8]
- (iv) Discuss the impact of the university's expansion on its stakeholders. [5]
- (v) Discuss how actuaries could contribute to the university's expansion plan. [5]
- (vi) Outline how the university could raise the capital needed for its expansion plan. [4]

CP1-P2 | April 2019 | Q1 - continued[Current topic](#) | 50 marks total | [Original PDF p3](#)

Integrated case study. The full scenario is retained under one primary chapter; related chapters identify its other substantial topics. Related: Ch 5, Ch 22, Ch 35, Ch 25, Ch 7, Ch 18.

- (vii) Discuss the risks involved in the expansion plan, indicating for each how that risk might be managed. [6]
- (viii) Suggest the types of insurance cover the university may need. [4]
- (ix) Outline other areas, in addition to the expansion plan, on which actuaries could provide advice to the university. [3]

Your employer has recently set up a new department dealing with 'Big data'.

- (x) Outline what is meant by 'Big data'. [2]
- (xi) Discuss the challenges involved in using 'Big data'. [3]
- (xii) Suggest ways that 'Big data' could be useful to the university. [3]

[Total 50]

CP1-P2 | April 2023 | Q1

Current topic | 50 marks total | Original PDF p2

Integrated case study. The full scenario is retained under one primary chapter; related chapters identify its other substantial topics. Related: Ch 25, Ch 30, Ch 17, Ch 22, Ch 23.

- 1** A country with a population of 50 million people has a small town with 50,000 inhabitants located on an island situated a short distance from the mainland. The only connection that the island has to the mainland is one bridge that is now over 50 years old. The road that connects the town on the island to the mainland passes mainly through an important habitat for birds that has been subject to increasing environmental protections over the last 50 years.

The local government for the town recognises that the road and bridge are a critical link between the island and mainland. The maintenance of both the road and bridge is a priority for the local government; however, the connection to the mainland must always be operational. Maintenance of the bridge is typically planned at least 2 years in advance considering the age of the bridge, operational requirements and the local government's financial resource constraints. Occasionally, there will be a need to carry out emergency maintenance on the bridge.

Until 10 years ago, coastal sea flooding of the road from the town to the mainland was very rare. However, in the last 10 years, the frequency and severity of storms that cause flooding and other damage to the road have increased. On one recent occasion, a severe storm and associated coastal flooding caused damage to both the road and bridge, making them unavailable for a week.

The local government has proposed to engage an actuary to undertake a review of its transportation road and bridge link with the mainland. The review will consider the island's infrastructure requirements and assessment of risks for its link with the mainland for the next 50 years, including considering climate change risk.

Currently the local government pays for maintenance costs of the road and bridge link as they arise. A suggestion has been made that a 20-year fixed-cost maintenance contract could be set up to manage the risks and cost of maintaining the road and bridge.

- (i) List the stakeholders who will be part of the transportation review. [6]
- (ii) Describe three potential conflicts of interest that could arise between the stakeholders identified in part (i). [3]
- (iii) Set out the factors, including any further investigations, an actuary would need to consider before agreeing to undertake this review. [7]
- (iv) Describe the possible risks that the actuary should consider in their review. [9]
- (v) Suggest four possible actions to mitigate the risks identified in part (iv). [4]
- (vi) Discuss the possible issues with using a model that assesses the impact of climate change in the review. [5]
- (vii) Assess the suitability of a 20-year fixed-cost maintenance contract for the road and bridge link. [11]
- (viii) Discuss other possible ways that the government could fund the maintenance contract. [5]

[Total 50]